

After the crash of 1929, the market had a nice recovery. By April of 1930, the market was up 41 percent from its low on November 13, 1929. Many believed the worst was over. One of those was Benjamin Graham, the father of security analysis, Warren Buffett's teacher and a great investor in his own right.

In 1930, Graham was 36 years old and a near millionaire and had already enjoyed a lot of success in markets. So, when he met with a successful, retired 93-year-old businessman named John Dix, Graham was full of "smug self-confidence," as he would admit in his memoir. Graham found Dix "surprisingly alert" as Dix peppered him with all kinds of questions. Then Dix asked him how much money Graham owed to banks. Dix didn't like what he heard.

That's because Graham used a lot of debt in his investment fund to finance stock purchases. When Dix heard this, he offered him a grave warning with "the greatest earnestness." Dix said,

Mr. Graham, I want you to do something of the greatest importance to yourself. Get on the train to New York tomorrow; go to your office, sell out your securities; pay off your debts, and return the capital to your partners. I wouldn't be able to sleep one moment at night if I were in your position in these times, and you shouldn't be able to sleep either. I'm much older than you, with lots more experience, and you'd better take my advice.

Graham, of course, didn't take his advice. He even writes in his memoir that he "thanked the old man, a bit condescendingly no doubt."

Of course, Dix was right, and the worst was yet to come. "I have often wondered what my life would have been like it [sic] if I had followed his advice," Graham muses. Graham suffered mightily in 1930, his worst year ever:

|      | Benjamin      |             |
|------|---------------|-------------|
|      | Graham        | Dow Jones   |
|      | Joint Account | Industrials |
| 1929 | -20%          | -15%        |
| 1930 | -50%          | -29%        |
| 1931 | -16%          | -48%        |